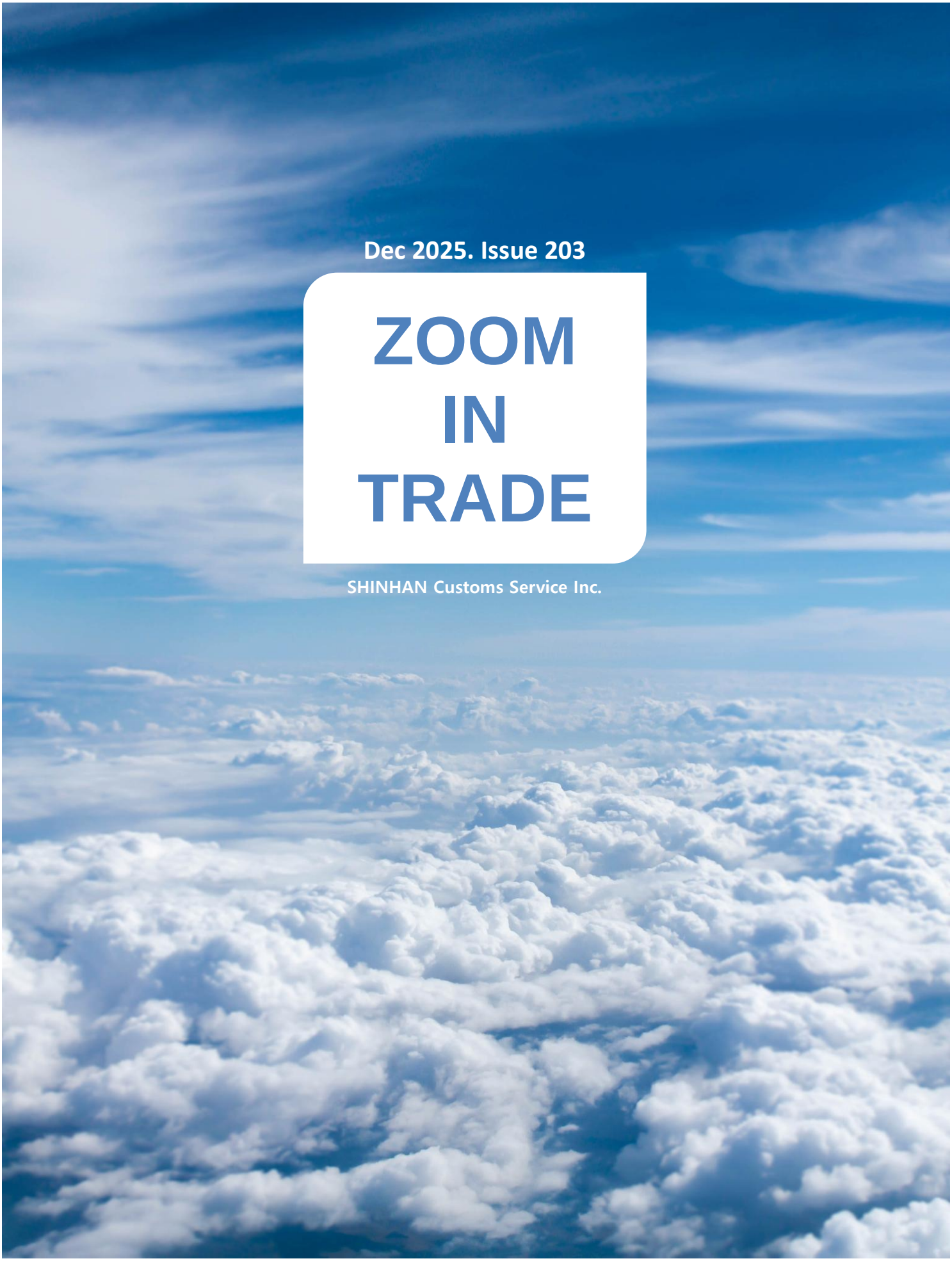

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Where Is Grace Chang?

Planting an apple tree

Grace Chang
CEO/Customs consultant

"

May you end the year 2025 with gratitude and joy.
We would like to express our deepest gratitude for the kindness you have sent us.

"

Apples are a very familiar fruit, grown all over the world. They are loved by many for their sweet and tangy taste and relatively low calories. Apples have been placed as healthy fruits in daily life for a long time since they contain various nutrients such as potassium, dietary fiber, and vitamins. For me, apples are a fruit tied to personal memories. During my teenage years, I loved them so much that I'd eat three or four in one sitting. Even during those times, when I didn't give any special meaning to them, apples were always close by. They were familiar, yet significant.

Ideal and Reality for this month is ***'Analysis of Agricultural and Fishery Product Import Prices and Policy Decisions in the Era of High Exchange Rates'****, Analysis on Recent Customs Judicial Precedent covers* ***'Whether the plaintiff's smuggling of the issued goods by disguising them as personal use while importing them for domestic sale constitutes an active act of fraud (Tax Tribunal 2025-Gwan0044)'****, and HS case solved by logic reports* ***'Classification of Cigarette filters',*** *Global Customs Insight is* ***'Tariff Reduction on Korean-made cars and auto parts in the U.S. to be applied retroactively starting in November.*** *and FTA and import/export practical business guide is* ***'Guidance on the 2025 Export/Import Declaration Correction Error Score Exemption System and Scope of Application',*** *Contents and Opinion of Customs Trade amendment Covers* ***'For Japanese and Chinese 4-axis or more vertical multi-joint industrial***

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robotsEnactment of provisional anti-dumping duties (Ministry of Strategy and Finance Notice No. 2025-47)'.

There is a famous saying "Even if the world were to end tomorrow, I would still plant an apple tree." This is not a hazy optimism or declaration. This is an attitude of not putting off what needs to be done today, even when the outcome cannot be guaranteed. It is a pledge to never give up hope for the future and our responsibilities as human beings.

Today's business environment is more uncertain than ever.
Rapid advancement of artificial intelligence technology (AI, AGI) is rapidly changing the structure of the industry and the way we work. Global warming and climate change is impacting production, logistics, and the entire supply chain. Furthermore, we are moving beyond the era when global cooperation was taken for granted. Each country is strengthening protectionism and national economic security policies. Meanwhile, the international trade and customs environment is also becoming more complex.

Especially at the scene of global business, trade, and customs clearance, as changes in systems and regulations become more frequent and differences in interpretation and application across countries increase, the importance of accurate judgment and consistent principles is growing.
In this environment, the phrase **"planting an apple tree"** is read as a choice that I will remain faithful to the fundamentals even in times of uncertainty. It is an attitude that I will prioritize long-term trust and sustainable relationships over short-term responses or temporary solutions.

Apple trees do not bear fruits immediately after planting.
It takes time, constant care, and sometimes the ability to tolerate unexpected environmental changes. However, only trees that have gone through that process can bear stable fruits.

Our relationships with customers and partners are no different.
Trust isn't built quickly, nor is it achieved through technology or systems alone. It's about repeating principles of accuracy, accountability, and unwavering standards in a changing environment. The relationship is finally strengthened.

SHINHAN Customs Corporation has been building on this foundation of trust for 60 years.
Rather than focusing on past achievements, I believe this period is a record of the process of considering the path forward for our customers and partners amidst a changing global environment. And beyond this milestone, in upcoming days, In an increasingly complex trade environment, we aim to respond with more sophisticated and responsible expertise.

SHINHAN Customs Corporation will continue to work with the same attitude in the coming new days.
Amidst changes in AI and technology, climate, and the international order, we will remain as a partner adhering to the fundamentals, prioritizing long-term trust over short-term convenience, and working together to prepare for the future of our customers and partners.
Planting an apple tree is ultimately choosing faith.
We believe that today's diligence will lead to tomorrow's trust. Based on that belief, we will continue to plant apple trees quietly and steadily in the future.

May you end the year 2025 with gratitude and joy.
We would like to express our deepest gratitude for the kindness you have sent us.
Thank you

Ideal and Reality

Analysis of Agricultural and Fishery Product Import Prices and Policy Decisions in the Era of High Exchange Rates

1. A high exchange rate is a structure that cannot avoid rising import prices.

A high exchange rate directly leads to higher import prices. Prices of crude oil, grain, and livestock products react first, followed by a gradual increase in the prices of processed foods and the cost of dining out.

The won/dollar exchange rate in the second half of 2025 has **surpassed 1,450 won and threatened to enter the 1,500 won range.** The government is still operating under the slogan that "price management is the beginning and end of stabilizing people's livelihoods."

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- FTA Consulting

Import and distribution industries are being urged to refrain from raising prices. This practice of pressuring importers and processors to set selling prices by mobilizing the Price-Related Ministerial Meeting, the Ministry of Agriculture, Food and Rural Affairs, the Fair Trade Commission, and the National Tax Service is a practice repeated regardless of the administration. While it's necessary to implement financial and industrial policies to ease the high exchange rate and maintain it in the 1,200 won range, which is considered an appropriate exchange rate, this is not feasible right now, so pressuring importers to stabilize prices does little to stabilize prices. It's natural that import prices will rise when the exchange rate rises, and consumers should accept this.

2. Structural Errors of the National Assembly and KDI Revealed by Tariff Rate Quota Analysis in the 2022

The 2022 Consumer Price Index (CPI) has **increased by more than 5% compared to the previous year.** It was the highest level of inflation across the board since the 1997 IMF foreign exchange crisis. At the time, the government fully activated tariff quotas on beef and pork for addressing high inflation under the pretext of price stability. This was the first time in history that a quota was imposed on beef, and the first time on pork since the 2011 foot-and-mouth disease outbreak. Tariffs were reduced as follows:

Item	Existing tariff rates	June - December 2022
American beef	10.6%	Quota tariff (0%)
Australian beef	16%	Quota tariff (0%)
Pork from Mexico and Brazil	25%	**Quota tariff (0%)**

The quota tariff was implemented, and while wholesale prices were actually reduced, retail prices were assessed to have not increased significantly. The Korea Development Institute (KDI), commissioned by the Ministry of Strategy and Finance, analyzed the consumer price pass-through effect of the quota tariff in 2022 and reported it to the National Assembly and the government in 2024. **The effect of a 1% tariff reduction on consumer prices** was analyzed: beef is 0.12%, pork is 0.51%, and chicken is 0.28%. In other words, **considering a tariff reduction rate of 10% to 16% for beef, the consumer price**

reduction effect is 1% to 2%. Considering a tariff reduction rate of 25% for pork, the consumer price reduction effect is around 3%. This led to the conclusion that the remaining tariff reduction benefits went to the import industry. It seems that the implementation of the quota tariff system was judged to be beneficial for importers of livestock products.

2022	July	August	September	october	November
Consumer price (100g)	4,277	4,284	4,271	4,340	4,232
Import unit price (kg)	9.0	8.9	8.5	8.2	8.3

The problem here is the circumstances were revealed that KDI, the National Assembly, and the office of Representative Im Mi-ae who cited this conducted the analysis without considering the sharp fluctuations in the exchange rate in the second half of 2022. The exchange rate for the second half of 2022 had a 10~20% **surge.** It was less than 1,200 won until the first half of 2022.

<2022 and 2021 Exchange Rate Comparison>

Exchange rate	June	July	August	September	october	November	december
year 2022	1277	1307	1318	1391	1426	1364	1296
year 2011	1121	1143	1160	1169	1182	1182	1183
Monthly increase rate rate	13.92%	14.28%	13.63%	18.98%	20.59%	15.32%	9.53%

At that time, the US Federal Reserve raised the base interest rate from 0.25% to 4.50% in 2022. This resulted in a global strengthening of the dollar and weakening of the won. This was intended to prevent US inflation from soaring to 9.1% in 2022. The US Federal Reserve has a 2% inflation target. At the time, it appeared that the effects of the quota tariff were not reflected in consumer prices of livestock products in Korea. **It was the exchange rate, not the tariff, that had the crucial influence.** KDI simply compared the effects of tariff reduction with consumer prices, and the National Assembly and Representative Im Mi-ae confirmed the conclusion that "importers monopolized the benefits" based on this result. **It is judged to be an analytical error that completely omitted the key variable of the high exchange rate.**

3. The essence of the controversy over criticism targeting importers and the return of large corporations

The criticism toward importers by the National Assembly and the government continued in the government audit in

October 2024 and the budget special committee in July 2025 saying that the **88% of the** benefits of the quota tariff **went to importers and distributors.** They even released a list of large corporations. They reported the large corporation received the benefit that Dongwon Home Food received 7.6 billion won, Hyesung Provision (a Daesang affiliate) 4.8 billion won, Shinsegae Food 3.8 billion won, Lotte Corporation 1.6 billion won, E-Mart 870 million won, Daesang Networks 270 million won, and CJ Freshway 160 million won. However, this analysis also did not reflect the **costs soared due to high exchange rates**. The cost composition is linked to not only the CIF price of imported goods, but also freight, cold storage fees, and financial costs for inventory.

In other words, although the quota tariff can be eliminated at once through policy, the criticism that importers and meat processors monopolize profits is **statistically and economically inaccurate** under the condition that the exchange rate, logistics costs, and inventory costs are skyrocketing across the board. The market is always competitive, so implementing quotas tariff will prevent importers from profiting. The KDI, the government, and the National Assembly all seem to have forgotten this.

4. Why it's difficult for importers to make a profit in a high exchange rate era.

In 2022 and 2025, most livestock product importers are **operating at a loss.** In a high exchange rate environment, importers face the following risks:

If you have a lot of frozen beef in stock and the exchange rate falls, you will immediately lose inventory. In addition, in a situation where the exchange rate fluctuates, a high exchange rate increases not only import prices but also international transportation costs in dollars. In addition, an increase in domestic sales prices increases the risk of price declines due to cold storage costs for inventory and a decrease in product value due to long-term storage due to insufficient demand, and increases financial costs due to inventory accumulation.

Nevertheless, the framing of "large corporations and importers monopolizing profits" is a one-sided accusation that ignores the impact of high exchange rates. Given the nature of primary products in an open economy, where no single importer can reap significant profits, it's a misconception that importers don't share in the pain of high prices. Everyone accepts prices as determined by the market, and while prices are determined by the combined actions of everyone, no individual can exert much influence on prices. In an open economy where shortages of items can be imported from abroad within a month, importers cannot achieve a monopoly.

5. Importers are not responsible for high prices.

KDI used an **analysis model excluding exchange rates** as a base indicator, and the National Assembly Budget Office accepted it without verification and confirmed it as **policy judgment**. Furthermore, Rep. Im Mi-ae's office has been shaping public opinion by claiming that benefits are being given to importers and large corporations under the guise

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of protecting farmers, and has consistently emphasized that the effects of quotas tariff on agricultural and fishery products are limited so they should be minimized. These three axes pushed to the simple equation that "importers' greed" is the reason domestic consumer prices do not fall even after tariff quotas are implemented, completely removing the structural market variable of the exchange rate from the policy logic.

6. a lot of effort goes into importing goods, and importers are exposed to risks.

As with the international movement of other items, I want to emphasize that importers put in a tremendous amount of effort and risk before agricultural, livestock and fishery products are imported, as they go through the process of finding high-quality and affordable products in the exporting country.

Peruvian shrimp, Mexican pork, African cutlassfish, Indian sesame seeds, Chilean fruits, and Brazilian and Ethiopian coffee go through the trouble of traveling to small towns and rural areas that are a bit more unstable than in Korea, and are imported with the constant risk of price drops due to spoilage or shortened shelf life caused by weather and shipping schedules during transportation.

Since all container ships are monopolized by Shanghai, they arrive at Busan Port after transshipment. So if unloading is delayed even a little and the transportation period is extended, refrigerated livestock products cannot be distributed and are converted to frozen products, which often leads to a risk of loss due to a drop in price.

In this tense environment, importers typically only make 1-5% of their profits, as evidenced by their operating results. Most livestock product importers are expected to record operating losses in 2022, a period of high exchange rates. Furthermore, the deficit is expected to persist in 2025, as rising import prices due to the high exchange rate dampen consumption. It is misguided to pressure importers not to raise prices simply because the government implemented tariff quotas without fully understanding this situation.

The price of kalguksu in Seoul between 2015 and 2025 **has increased by more than 50% from 6,500 won to 9,800 won, which is the largest increase among the prices of eating out. From the consumer's perspective, it seems like they can make a huge profit margin by opening a kalguksu restaurant, but in reality, the fact that more and more kalguksu restaurants are closing down suggests that there must be other circumstances that neither consumers nor the government are aware of.**

I want to emphasize once again that high prices are inevitable in an era of high exchange rates, and that importers find it difficult to profit in such circumstances. The working and middle classes, who bear the brunt of rising prices, are inevitably exposed to these price increases. However, we must not artificially scapegoat anyone to avoid blame for the government.

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7. Price is a signal to society about how much scarcity costs should be tolerated.

When international oil prices rise, the costs of fertilizer, feed, transportation, meat, and even airfares rise. When livestock product prices rise, so do the prices of meat, processed foods, and even gomtang and seolleongtang. This isn't a widespread pain, but a signal to society about the extent to which scarcity costs must be tolerated.

In an era of high exchange rates, we shouldn't blame specific industries, brokers, or importers for high prices. Instead, we should consider how to share the burden, as rising costs have impacted the entire system. Furthermore, prices naturally adjust without coercion. There's no need for the government to dictate prices or frame anyone as "greedy." As scarcity increases, consumption naturally decreases, the search for substitutes increases, and the supply structure adjusts. This adjustment is not an administrative order. It **occurs only with price signals**.

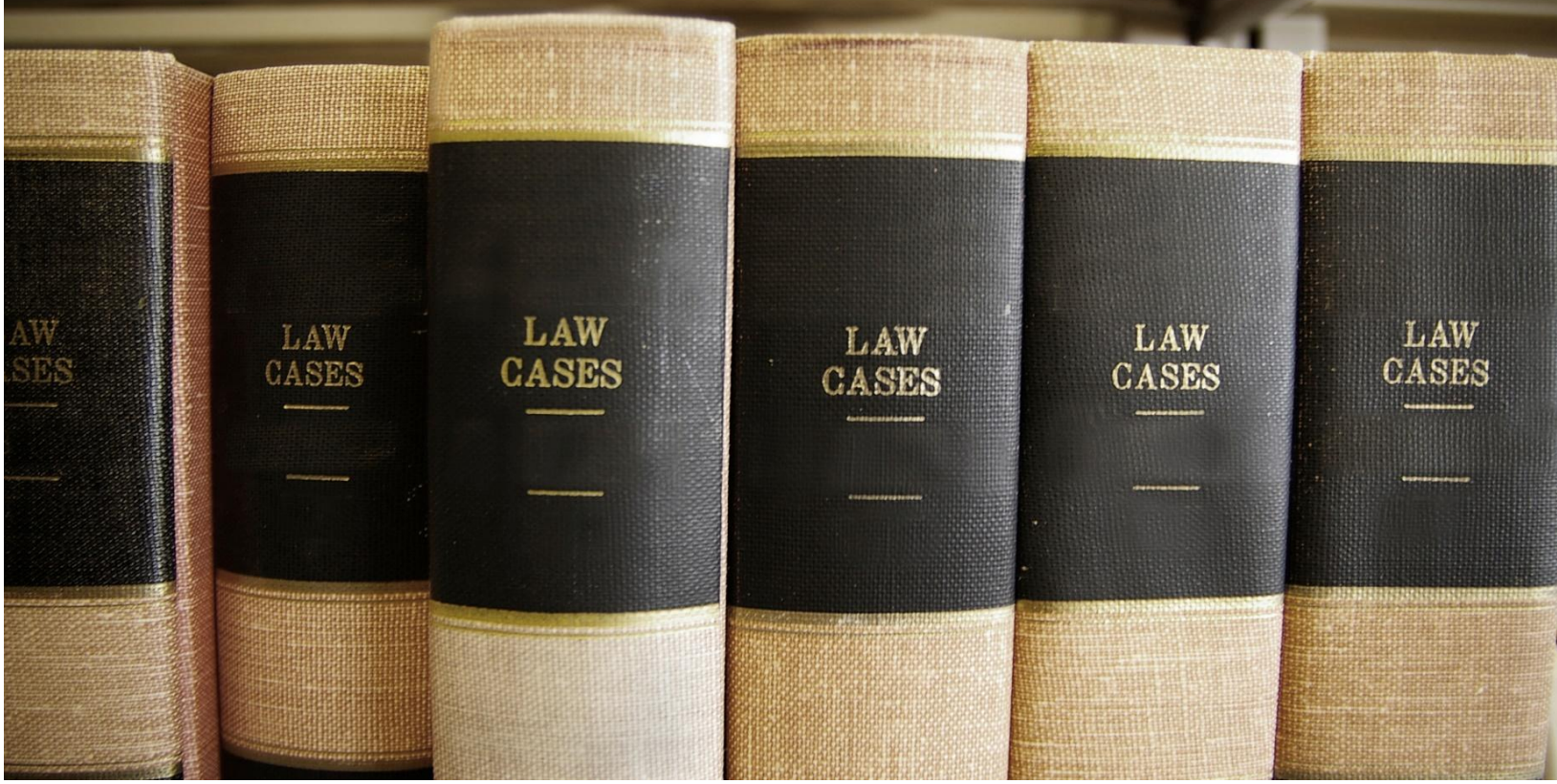
Conclusion: In an era of high exchange rates, policies should be based on more detailed analysis rather than pressuring importers.

It cannot be denied that the quota tariff had limited effect on stabilizing consumer prices. However, the **fact that the analysis of root cause was wrong and it must be corrected.**

- The effect of lowering consumer prices is small. This is **not because of the lack of effect from tariff reductions but because of the sharp rise in the exchange rate. Considering the increase in import costs, there was a sufficient effect of lowering market prices,**
- Putting pressure on importers does not change **the exchange rate and import price structure. We must make consumers understand that a high exchange rate means high prices, and we must never forget the exchange rate when analyzing the effects of individual policies.**
- When criticizing large companies or importers that have benefited from tariff reductions, a more accurate analysis is needed. More importantly, **we must all strive for accurate economic analysis of policy design, and stop criticizing them with misinformation.**

Everyone must recognize that punishing the wrong people for the wrong reasons distorts market signals and undermines trust in policy.

The rise in prices in the era of high exchange rates is not due to the greed of a specific entity. It is **the economic reality created by the international monetary environment, transportation costs, inventory costs, and exchange rate structure.** I hope that all economic entities, including the government, businesses, and consumers understand that policies and criticisms that do not acknowledge this reality are not measures to alleviate suffering but this is nothing more than a mere **means of shifting responsibility**.



Analysis on Recent Customs Judicial Precedent

Whether the plaintiff's smuggling of the issued goods by disguising them as personal use while importing them for domestic sale constitutes an active act of fraud (Tax Tribunal 2025-Gwan0044)

1. Facts

The plaintiff in this case imported 687 soccer items (hereinafter referred to as "issued items") from the UK via international mail on 441 occasions from January 28, 2019 to September 19, 2019, and was exempted from customs duties, etc. by omitting the import declaration under Article 241, Paragraph 1 of the Customs Act.

The Disposition Office conducted a customs investigation into the plaintiff and determined that the plaintiff had smuggled the issued goods by disguising them as goods for his own use while importing them for sale on his online shopping mall. The office then filed a complaint against the plaintiff for violations of the Customs Act, etc. The Incheon District Prosecutors' Office indicted the plaintiff on charges of smuggling, and the Incheon District Court suspended the imposition of fines and surcharges on the plaintiff (hereinafter referred to as the "Criminal Case at Issue").

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Accordingly, the Disposition Office imposed and notified the Claimant of customs duty of OO won, value-added tax of OO won, and surcharge of OO won, totaling OO won, on the issued goods on December 13, 2024, pursuant to Article 39, Paragraph 1 of the Customs Act (hereinafter referred to as the "Issued Disposition"). The Claimant was dissatisfied and filed an objection and a request for adjudication.

2. Claimant's claim

The plaintiff asserts that the failure to report in this case does not constitute a "fraudulent means" as defined in Article 21, Paragraph 1, Proviso of the Customs Act. The situation at issue is not the use of multiple names and addresses to disguise personal consumption, as the disposal agency has taken issue with. Rather, the plaintiff received the goods mostly under his own business name and address, and, due to difficulties receiving deliveries due to civil service examination preparation, he used the names of acquaintances and family members.

In addition, the disputed criminal judgment was rendered on September 15, 2021, and was finalized on September 22, 2021, as there was no appeal. The dismissal took effect on September 15, 2023, two years after the judgment. Although the disposition agency could have imposed the tax immediately after the judgment was finalized, it made the disputed disposition on December 13, 2024, approximately three years and three months later. Since this was a disposition made one year and three months after the dismissal took effect, the claimant is not responsible for the delay. Therefore, the position is that the portion of the non-declaration/failure to pay penalty under Article 42, Paragraph 3, Subparagraph 2 of the Customs Act that falls after the date of the disputed criminal judgment or the date of the dismissal should be canceled.

3. Disposal agency claim

While mail can be declared without declaration or with a simplified declaration in certain cases, mail intended for sale is subject to import declaration. The disposal agency believes that the plaintiff, despite knowing import customs regulations, the duty-free limit for personal use, and the declaration requirement

for the issued goods, used the names and addresses of several acquaintances for the purpose of customs evasion. The agency determines that this was not simple negligence, but rather an act of dishonesty with the intent to conceal. Therefore, the court believes that the statute of limitations for customs duty assessment should be 10 years, which applies to dishonest acts, rather than the standard five-year statute of limitations or seven years for negligence.

In addition, the disposal agency pointed out that the plaintiff had admitted to intentional smuggling in the criminal case and received a suspended sentence, but in the request for trial, the plaintiff showed a contradictory attitude by denying the crime, saying that it was simply a failure to report.

The surcharge for non-filing and late payment is an administrative sanction intended to recover profits gained from delayed filing and payment and to promote fairness with regular filers. Except for natural disasters, there are no exemption provisions. While the claimant argued for a reduction in the surcharge based on the timing of the disposition, the disposition agency ruled that the tax authority had lawfully exercised its authority within the statute of limitations and therefore could not be considered grounds for partial exemption.

4. Summary of Decision

① The statute of limitations for imposition of fines and the interpretation of “fraud”

The plaintiff argued that his non-reporting activities did not constitute "fraudulent means", and therefore the five-year statute of limitations should apply. However, Article 21 of the Customs Act stipulates that the statute of limitations is 10 years for cases where customs duties are evaded or refunded or reduced "wrongfully". The plaintiff exploited the duty-exemption provisions by receiving commercial goods as international mail under the names and addresses of himself, his acquaintances, and his family members, disguising them for personal use, and then selling them online. Therefore, the plaintiff's actions should be deemed fraudulent means and the 10-year statute of limitations should apply.

② Regarding surcharges for non-reporting and non-payment

The plaintiff argued that the surcharge imposed after the final criminal conviction or the effective date of the dismissal should be canceled. However, the tax authority may impose taxes at any time within the statute of limitations, and the mere fact that a disposition was made after a criminal conviction is not a valid reason to exempt the surcharge. Furthermore, given that there are no statutory provisions for

exemption of surcharges for failure to file or pay taxes except in the event of a natural disaster, the plaintiff's argument is difficult to accept.

③ Whether a 40% surcharge should apply

The disposal agency determined that the plaintiff was "punished" for violating Article 269 of the Customs Act and imposed a 40% surcharge on the customs duties. However, tax interpretation must be based on the text of the law, and analogical and extended interpretations are limited. "Punishment" in this provision presupposes a sentence. In the plaintiff's case, the suspended sentence cannot be considered a "punishment," and it is reasonable to conclude that a 20% surcharge on the customs duties is appropriate.

On the other hand, domestic taxes, such as value-added tax on imported goods, should be governed by the relevant laws. The Value-Added Tax Act and the National Tax Basic Act stipulate a 60% surcharge on the unreported tax amount for non-reporting due to fraudulent practices in overseas transactions. Given that the plaintiff's actions in ① above were assessed through fraudulent means, a 60% surcharge on value-added tax is deemed appropriate.

5. Significance

This case has the following significance in terms of customs practice and customs clearance risk management.

First, this case clearly confirms that the "self-use report + import and then sale" structure can be considered a fraudulent practice. While this may be easily dismissed as a simple false report by a small individual, the court assessed it as a structural and intentional act, extending the tax risk to up to ten years.

Second, this case demonstrates that acts that do not align with the reported content and actual purpose can be evaluated as intentional and active concealment rather than simply minor violations.

Third, it is stated that the determination of a fraudulent act or fraudulent means is made by comprehensively considering various circumstances, including the circumstances leading to the non-reporting or false reporting and the degree of discrepancy from the facts, as well as whether it can be recognized as “fraud” according to social norms.

This case can be seen as a decision that clearly states that even if a small amount is imported through international mail, if the purpose is commercial, it can be evaluated as an illegal act, and accordingly, the tax consequences, such as the statute of limitations and surcharges, can differ.

Even if the import form appears simple, ensuring the truthfulness of the declaration and consistency of purpose is considered important in minimizing customs clearance risks.

HS case solved by logic

Classification of Cigarette filters

1. Overview

Textile products are classified differently depending on their primary material and manufacturing process, and applicable tax rates can also vary significantly. For items falling under Part 11, in particular, various factors such as fiber arrangement and chemical treatment must be considered. Through the following case studies, we will examine the criteria for classification of textile products.

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2. Tax Tribunal 2025-Gwan0077 (Decision Date:10-21-2025)

(1) Disposition Summary

The claimant corporation imported filter rods (hereinafter referred to as "issued goods") of cigarettes from C, an affiliate of Group A (hereinafter referred to as "issued exporter") from March 4, 2020 to July 4, 2023, and declared as 'Products made from textile (artificial) fiber wadding' with the item classification number of No. 5601.22-0000 (basic rate 8%). The import declaration was filed and the disposal office accepted it.

On August 9, 2022, the Disposal Agency requested a preliminary review of the classification of filter rods similar to the disputed goods to the Customs Valuation and Classification Board requested. On November 7, 2023, the Customs Classification Committee determined the issued goods as other products made from textile materials (non-woven fabrics) are classified under No. 6307.90-9000 (basic rate 10%). The decision was made and notified the decision to the disposal authority.

The Gwangju Customs Director, while conducting a customs investigation on the claimant corporation, determined that there was an error in the classification of the issued goods and advised the claimant corporation to file a revised report. On February 10,2025, the claimant corporation accepted this, filed a revised report and paid the relevant tax by correcting the issued goods to HSK No. 6307.90-9000.

On February 26, 2025, the claimant corporation filed a request for a reduction in the amount of tax on the grounds that the issued goods were classified under HSK No. 5601.22-0000, which classifies products made of textile (artificial) fibers wadding. However, the disposition authority rejected this request on April 24, 2025 (hereinafter referred to as the "issued disposition").

(2) Issued HS CODE

HS	No. 5601.22-0000	No. 6307.90-9000
tariff	Basic tax rate 8%	Basic tax rate 10%
Terms of the heading	Made of artificial fibers	Other products

Product Features	**Manufacturing method** ① Acetate tow (a continuous filament assembly of cellulose acetate that determines the suction resistance, the most important characteristic of the filter) is extracted from the pile and spread widely by spraying air through an air spreader. ② The toe passes through the roller and goes through a process of contraction and relaxation. ③ After spraying triacetin (fine droplets of plasticizer) onto the rotating brush in the chamber and forming it into a rod shape, ④ Manufacturing by attaching adhesive to paper and wrapping the outside **2. Features** ① Molding acetate tow treated with triacetin into a rod shape ② A white cylindrical stick made by wrapping the outside with paper and gluing it, then cutting it into four pieces and using it as a filter for a cigarette. ③ Triacetin (binder or hardener) is evenly attached to the entire acetate tow, and the analysis results from the disposal agency also show that triacetin exists in the outer and inner layers.

(3) Claim of the claimant

1) The issued goods do not correspond to "non-woven fabric."

① Nonwoven fabric vs. wadding

According to the HS commentary of No. 5603, a nonwoven fabric is "a sheet or web made by arranging textile fibers neatly in a certain direction or arranging them randomly and bonding them." The dictionary definition is "a sheet-shaped fabric made by arranging fibers appropriately and bonding them using an adhesive, the adhesive strength of the fibers themselves, or the entanglement of the fibers, rather than weaving them into a batten." In other words, a nonwoven fabric is essentially a sheet-shaped article with width and layers. On the other hand, wadding defines it as "a bulky assembly that has been engineered to a level of completeness by applying physical means using fibrous materials for a specific use."

	Wadding	nonwoven fabric
Heading commentary	1) It is made by overlapping multiple layers of carded or air-laid fibers and is compressed to increase the bonding strength of the fibers. 2) Sometimes, to increase the bonding strength of the fibers, lightly beat the wadding layer to secure it in place by supporting it with a fabric or other textile material. 3) It is a highly puffed sheet-like, elastic, sponge-like material with uniform thickness and fibers that can be easily separated.	1) A sheet or web in which textile fibers are arranged neatly in a certain direction or arranged randomly and bonded. 2) The fact that the fibers or filaments are bonded throughout the entire width and layer of the web or sheet helps to distinguish nonwovens from certain types of wadding in heading 5601.
Dictionary meaning	A bulky aggregate of fibrous materials engineered to a level of integrity by applying physical means for a specific application.	Without being tied to the loom, the fibers are arranged appropriately. It is sheet-shaped cloth using **adhesive or fiber self-adhesiveness** or fibers **tangle**

[Table 2. Differences between wadding and nonwoven fabric]

② Classification by shape

The issued goods correspond to a cigarette filter rod, formed into a rod shape through a consistent process of applying a small amount of triacetin (composition ratio: approximately 7%) and passing it through a press. Only a diameter and length are present, without any layers or width. Therefore, the issued goods is not a nonwoven fabric in the form of a web or sheet, and therefore cannot be considered a nonwoven fabric of type 5603, which is bonded across all layers and widths.

2) Since it is not an item made of textiles, it cannot be classified under heading 6307..

Because the product is formed into a rod shape and lacks width and layers, it does not possess the characteristics of a woven fabric (including nonwoven fabric). Therefore, it cannot be considered a "product made from woven fabric" under Note 1 to Chapter 63. Therefore, as the Disposal Agency asserts, the issued item cannot be classified under Tariff Schedule No. 6307.

(4) Disposal agency claim

: **Since it is 'other textile products', it is classified in subheading 6307.90-9000 according to General Rules Nos. 1 and 6.**

① The issued item is a nonwoven fabric of No. 5603, not a wadding product of No. 5601.

The commentary on the heading 5601 explains, although the fibers of the inner layer **has the characteristics of a wadding that is easily separated, if the coagulant has penetrated into the inner layer,** it should be classified as a nonwoven fabric under heading 5603. Therefore, the claimant's argument that fibers or filaments must be bonded across all layers and widths to be classified as a nonwoven fabric is inconsistent with the explanation in the explanatory note.

Unlike wadding, in which fibers are easily separated, triacetin can be seen to have penetrated into the fibers and bonded (reinforced) the acetate fibers together. **The fact that the issued item has the characteristic of not being easily separated,** It does not correspond to an item that meets the terms of heading 5601.

Triacetin, used in the issued item, is sprayed during the manufacturing process of cigarette filters and attached to the surface of acetate fibers, binding the fibers together and maintaining the hardness of the filter rod at a constant level. Although it is intended as a plasticizer, it is actually a substance that acts as a binder or hardener.

In fact, the Central Customs Analysis Center, a subordinate organization under the Korea Customs Service, conducted a gas chromatography (GC-MS) analysis by separating the inner and outer layers of the issued goods and detected triacetin in both the outer and inner layers.

3. Judgment

① The main basis for the classification of the issued goods by the Disposal Agency is the commentary on HS heading 5601, which is as follows: "However, it should be noted that if the material has penetrated the inner layer of a coagulant-treated wadding, even if the inner layer fibers are easily separated, it is classified as a nonwoven fabric under No. 5603."

In addition, the disposal agency separated the outer and inner layers of the issued item, extracted the same amount from the same solution of methanol, and tested the filtrate as a sample using gas chromatography analysis. As a result, it was confirmed that triacetin was present in the outer and inner layers, which is in accordance with the above ①.

② Finally, the issued item is manufactured by spraying triacetin onto a rotating brush inside a chamber, forming acetate tow into a rod shape, and then wrapping the outside with adhesive on paper. In Article 11, Subject 7, Item A, "made into a product" is defined as "a product cut into a shape other than a square or rectangle," and the issued item falls under Article 11, Subject 7, Item A, in the form of a rod.

The term in Tariff Schedule heading No. 6307 is "other products," and the HS Explanatory Note to the same heading explains that "this heading covers products made of textile materials (regardless of the type of material) not enumerated or included in any other heading of Article 11 or any other heading of this Table." Therefore, since the issued goods are other articles made of textile materials (nonwoven fabrics), it is appropriate to classify them as HSK heading No. 6307.90-9000 in accordance with General Rules No. 1 and No. 6.

4. Implications

This case demonstrates that when classifying textile fiber-based molded products, not only appearance or shape but also the degree of fiber combination can be a criterion for item classification. For more accurate item classification, it is necessary to comprehensively review factors beyond simple material assessment, including the arrangement of the main fibers, chemical treatment, and structural characteristics. Furthermore, as the General Rules on the Interpretation of Tariff Schedules and the HS Commentary were the primary basis for the disposal agency's judgment in this case, it is necessary to put these General Rules and the HS Commentary as a top priority in item classification.

Global Customs Insight

Tariff Reduction on Korean-made cars and auto parts in the U.S. to be applied retroactively starting in November.

As per the Fact Sheet for Implementing the ROK-US Summit Agreement (November 14, 2025)[1], the tariff reductions on South Korean exports to the United States were published in the Federal Register on December 3, 2025[2].

Accordingly, the reciprocal tariff and item tariffs on Korean products (automobiles, auto parts, lumber, etc.), which had been levied at 25% since April, will be reduced to 15%, and uncertainty regarding tariff imposition is expected to be somewhat alleviated. Key details are as follows.

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1. Reciprocal tariffs (retroactive from November 14, 2025)

· Items with MFN rate of 0-15%

→ Total tariff rate of 15% applied (previously 25% → 15%)

· Items with MFN rate of 15% or higher

The Goods that meet the Korea-US FTA: A total tariff rate of 15% applies.

The Goods not subject to the Korea-US FTA: Existing MFN rates apply.

2. Item tariffs

· **Automobiles and Auto Parts**

25% → 15% reduction (Retroactive from November 1, 2025)

division	HS CODE new establishment	note
Passenger cars and light trucks	9903.94.60 9903.94.61	Copper, aluminum, and steel/iron products are not subject to additional tariffs.
auto parts	9903.94.62 9903.94.63 9903.94.64 9903.94.65	

- Wood, sawn timber and their derivatives - 25% →15% (retroactive from November 14, 2025)

- Certain aircraft and aircraft parts - Exempt from tariffs if they meet the Korea-US FTA (retroactive from November 14, 2025)

The preferential tariff rate (0%) under the Korea-U.S. FTA has supported the export competitiveness of Korean products to the U.S., but recent reciprocal tariffs and item tariffs, along with frequent policy changes, have significantly increased uncertainty for businesses.

While the confirmation of this tariff reduction and retroactive application will likely alleviate some of the institutional uncertainty, a thorough review of key

export items, such as automobiles and auto parts, is necessary, focusing on compliance with FTAs, the application of HS codes, and the possibility of refunds. Companies exporting to the U.S. or planning to export to the U.S. should proactively manage tariff risks by seeking advice from customs experts.

Customs Broker Cha Mi-jeong

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[1] Zoom In Trade November 2025 issue「Key Points from November 14, 2025 Korea-U.S. Summit Joint Fact Sheet on Trade Negotiations」

[2]https://www.federalregister.gov/documents/2025/12/04/2025-21940/implementing-certain-tariff-related-elements-of-the-us-korea-strategic-trade-and-investment-deal

FTA and import/export practical business guide

Guidance on the 2025 Export/Import Declaration Correction Error Score Exemption System and Scope of Application

If you correct an export/import declaration, an error score will be generated in accordance with the "Notice on Prevention of Errors in Export/Import Declarations," and sanctions such as suspension of P/L declaration and upward adjustment of inspection rate will be imposed based on the accumulated error score and error score ratio.

To encourage companies to voluntarily correct errors and support honest reporting, the Korea Customs Service operates a system that exempts companies from error points when correcting import and export declarations, subject to certain conditions. This system aims to prevent companies from suffering unnecessary administrative disadvantages due to simple or minor errors and to create an environment where companies can independently improve the quality of their reports.

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1. General error score exemption

(1) Exemption and reduction of error points according to correction period

This regulation encourages voluntary correction of errors within a short period of time before or after the acceptance of an export/import declaration. However, corrections to export/import requirement verification items will not be exempt from error points.

· If you apply for correction before the declaration is accepted or within 7 days from the date the export (return) declaration is accepted: Error points are exempted.

· When applying for correction within 2 days from the date of acceptance of the import declaration: The error score per item is calculated as 0.2 points.

(2) Exemption from error points based on correction reasons

Reasons for exemption from error points for correction of import declaration	Reasons for exemption from error points for correction of export declaration
· Final price declaration (including customs office confirmation) · Return of imported goods under contract · Work error of Customs officer · Correction guidance results · Results of Customs Service and Customs Audit · FTA Agreement Tariff Post-Application(Items related to tax rates and tax amounts) · Correction by adjusting the transaction price of imported goods · Corrections pursuant to ACVA approval or annual report · Correction by AM activity · Tax Assistance Information Guide Results · Tax correction according to the import tax settlement system · Expected error notification result · Request for correction during the self-correction period · Results of self-inspection of origin	· Confirmed quantity declaration · Confirmed price declaration · AM activity results · Request for correction during the self-correction period · Issuance of FTA certificate of origin or correction of the name of the issuing agreement

2. Operation of autonomous correction period

The Korea Customs Service encourages self-correction by declarants and shippers. To promote an accurate reporting culture, for the reports from the previous year, **the last two weeks of January every year** is designated as a "self-correction period." The correction items exempt from error scores are as follows:

· Export Declaration: All export declaration items

· Import declaration: Import declaration items except for tax-related items such as taxable price and tax rate

The autonomous correction period for reports submitted in 2025 is expected to be from Monday, January 19, 2026 to Saturday, January 31, 2026, and the final schedule will be announced around the second week of January each year through the Korea Customs Service Uni-Pass, etc.

3. Exemption from error points when correcting or canceling export declarations to the U.S.

2025 was a year marked by significant changes in the US import and export environment due to the Trump administration's tariff policy. Beginning with the imposition of product-specific tariffs on steel, aluminum, and their derivatives, the scope of tariffs continued to expand, frequently resulting in unexpected increases in tariff burdens and resulting changes to contract terms for Korean exporters.

Accordingly, the Customs Service has taken into consideration these inevitable contract changes, it has implemented a temporary exemption of error points for export declaration corrections for **All items for the US**. The original exemption period for error points was until July 30, 2025, but it was subsequently extended and re-extended **until December 31, 2025** for application.

· Exemption items: 33. Unit price, 34. Amount, 38. Reported price, 46. Total reported price, 49. Payment amount (including delivery terms) due to contract changes, etc.

Contents and Opinion of Customs Trade Amendment

For Japanese and Chinese 4-axis or more vertical multi-joint industrial robots Enactment of provisional anti-dumping duties (Ministry of Strategy and Finance Notice No. 2025-47)

1. Outline

The Trade Commission's preliminary investigation has identified suspicions of dumping on Japanese and Chinese vertical multi-joint industrial robots with four or more axes. Accordingly, provisional anti-dumping duties will be imposed on these products for four months to prevent further damage during the investigation period.

2. Reason for enactment

The Trade Commission has determined, based on its preliminary investigation into Japanese and Chinese four-axis or more vertical multi-joint industrial robots, that there is sufficient evidence to suggest that the products at issue are being dumped and that there is material damage resulting therefrom, and that there is a need to prevent damage occurring during the investigation period. Therefore, it is decided to impose provisional anti-dumping duties on the products at issue for a period of four months as follows.

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3. Main contents of the legislation

(1) Supplying country subject to levy

- Japan
- China

(2) Items subject to taxation

- 4-axis or more vertical multi-joint industrial robot (industrial robot with 4-axis or more vertical multi-joint structure with a payload of 6 kg to 600 kg)

-Tariff Classification: HSK 8479.50.9000, 8515.21.1010, 8515.21.2010, 8515.21.3010, 8515.21.9010, 8515.31.1010, 8515.31.9010

- Robots with one or more additional axes installed separately, and those imported not as finished products but with the mechanical device (robot body), control device, power cable, and regulator unassembled, are also included in the subjects for investigation. However, small high-speed robots, painting-only robots, and collaborative robots are not included in the subjects for investigation.

(3) Levy period

- November 21, 2025 - March 20, 2026 (4 months)

(4) Suppliers subject to provisional anti-dumping duties and provisional anti-dumping duty rates

Supplying country	provider(exporter, producer)	Preliminary dumping rate
japan	FANUC CORPORATION and its affiliates	26.63%
	YASKAWA ELECTRIC CORPORATION and its affiliates	35.26%
	Other suppliers	35.26%
china	KUKA ROBOTICS Guangdong Co., LTD. and its affiliates	21.17%
	ABB ENGINEERING SHANGHAI LTD. and its affiliates	43.60%
	KAWASAKI HEAVY INDUSTRIES, LTD. and its affiliates	27.76%
	Other suppliers	43.60%

4. Legislative opinion

The imposition of provisional anti-dumping duties is considered a crucial measure, as it can prevent further damage to the domestic industry during the investigation period. For equipment directly related to productivity and efficiency across the manufacturing industry, such as industrial robots, prolonged price distortions in the market could lead to a decline in the competitiveness of domestic companies, necessitating an early response. This provisional measure is expected to ensure a certain level of price stability and will also have a positive impact on normalizing the competitive environment for the domestic industry.

However, given the importance of this equipment in industrial settings, some companies may inevitably face short-term cost burdens and adjustments to procurement schedules. While the dumping rates announced this time are clearly announced and thus predictable, the actual implementation process requires practical judgment regarding the scope of the affected items, definition of specifications, and application of HS codes. Therefore, companies will need to closely review their ordering and import plans during the imposition period and thoroughly review the detailed requirements to avoid reporting errors or unexpected costs.

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